

Flexline MVP

Introduction

The US market for Small and Medium Business (SMB) financing presents a significant opportunity, with lines of credit (LOCs) being a particularly popular product category due to their inherent flexibility. Despite a complex environment marked by tightening credit standards and softening overall loan demand, new LOC originations continue to grow, underscoring the persistent need among SMBs for adaptable working capital solutions.

Key findings indicate a diverse competitive landscape comprising traditional banks, established fintech lenders, and newer entrants, each offering distinct value propositions typically trading off speed and accessibility against cost and repayment terms. While mandated ACH debit pulls are a common repayment mechanism, particularly among fintechs, offering a broader portfolio of repayment options—including manual ACH push, debit card payments, and wire transfers for payoffs—can serve as a significant competitive differentiator, catering to the varied cash flow needs and preferences of SMBs.

Furthermore, an online portal is not merely a transactional interface but a crucial component of the overall product experience and a key driver of customer retention. Designing intuitive, efficient, and comprehensive user journeys for fund drawing, repayment management, account administration, and exception handling is paramount.

We have piloted the line of credit product - Flexline with 3 of our US SCF portfolio customers who have been using the facility for their working capital needs with repayments distributed over 6 months in 6 instalments. The customers currently request draws and manage repayments through non-portal channels - interacting with the operations team on email.

Scope

The scope of this PRD is limited to getting a Minimum Viable Product for the flexline portal made live to our pilot customers which will include the following user journeys:

1. User Authentication
2. Requesting a draw
3. Bank account addition and verification
4. Managing Repayments

Success Metrics

- 100% flexline draws to be made on the portal

Product Requirements

A. Creation of Flexline Admin Page

- Create a new users.utype for flexline company profiles
- This user will have 5 types of statuses
 - Pending
 - Underwriting
 - Approved
 - Accepted
 - Rejected
- This user will have 2 types of utilization statuses
 - Active
 - Suspended
- When a user is added, default status to be 'Pending'
- Operator will move the status from 'Pending' to 'Underwriting' by completing the task 'Move to underwriting'
- Create a final decision form where operators/risk will input decision to approve/reject with a certain limit, 'Underwriting' to 'Approved' or 'Rejected' movement will be governed by the final decision form
- Import the following data sources/tabs from the US SCF importer page
 - Insurance
 - A-form Owners
 - Contacts
 - On the contacts page, 'scf-contact-kyc-form' opens up, rename the form to 'flexline-contact-kyc-form'
 - Against each contact 'Enable Flexine Portal Login' button to be created
 - On clicking this button, an email is shot out to the contact
 - Password reset email is sent to the email if the contact doesn't have any prior Drip portal logins
 - Welcome to Flexline email is sent to the contact if the US SCF portal login already exists, the email informs the user that he/she can now login to the flexline as well as

SCF portal with the same credentials

- Documents
- Customer
- Sources tab should contain
 - Plaid
 - Equifax
 - D&B
 - AML
 - Legal Cases (Unicourt)
 - Equifax Consumer Credit
 - Lexis Nexis Person Report
 - Lexis Nexis Business Search
- ACH Bank Details
- Task Workflows
- Create a tab named 'Draws' which captures the draws made by the customer along with the draw_id
- Create a tab named 'Repayments' which captures the repayments made by the customer

B. User Authentication

- A user navigates to dripcapital.com and signs in using their email address.
 - If a user's email address is registered on both the Flexline and US SCF portals, they will be prompted to select their desired portal during login.
 - After logging in, the user will have the ability to navigate to the alternate portal directly from their profile settings section, without needing to log in again.

C. User Journey - Bank account addition and verification

• Initiation & Information Request:

- The user is guided to a section within the portal labeled "Bank Account(s)"
- The user will be able to see all of his/her bank accounts added along with details and verification status
- The user will have the ability to add new bank accounts
 - **Data Entry:** The user is prompted to securely enter their bank account information for the account they wish to use for ACH debits. Mandatory fields include:
 - Account Holder Name

- Bank Name
- Account Type (Checking or Savings)
- Routing Number
- Account Number

- **Bank Account Verification:**

- **Purpose:** Before an ACH mandate can be finalized, the system must verify that the user owns the provided bank account and the details are accurate. This is critical for preventing errors and fraud.
- **Methods:** The portal should offer secure verification options:
 - **(Preferred) Instant Account Verification (IAV):** This is a plaid API to help us authenticate a user's bank account. The user securely logs into their online banking through an embedded module within the plaid iframe. The service instantly verifies account ownership and retrieves necessary details.
 - **(Fallback) Micro-deposit Verification:** If IAV isn't possible (e.g., bank not supported, user preference, technical issue), the portal initiates micro-deposits.
 - The portal informs the user that 2 small deposits (e.g., under \$1.00) will be sent to their account, taking 1-2 business days to appear.
 - The user must log out and check their bank account after 1-2 days.
 - The user logs back into the portal and navigates to the "Bank Account(s)" section.
 - The user enters the exact amounts of the micro-deposits.
 - The portal validates the entered amounts/code.
 - **Status Update:** The portal should clearly display the verification status ("Pending Verification," "Verified").

- **ACH Debit Authorization Agreement:**

- **Purpose:** Once the bank account is successfully verified, the user must be presented with a clear and compliant ACH Debit Authorization agreement. This is a **mandatory** step governed by Nacha rules.
- **Mandatory Content:** The authorization agreement must be readily identifiable and contain clear and readily understandable terms. It must include, at minimum :
 - A clear statement authorizing your company (the Originator) to debit the specified consumer bank account.
 - Drip Capital's name (as it will appear on their bank statement) and contact information.
 - The customer's name.

- The verified bank account number (displaying only the last 4 digits is common practice for security on the screen, but ensure full details are securely stored).⁷
- The amount of the debit(s). For fixed EMIs, state the fixed amount. If the amount could vary, the basis for its calculation must be clear.
- The timing and frequency of the debits (e.g., "monthly on the 5th business day," "recurring weekly"). Nacha requires specific notice periods if the date (7 days) or amount (10 days, consumer only) changes from what was authorized.
- A statement indicating whether the authorization is for recurring debits.
- Clear instructions on how the customer can revoke the authorization (e.g., via portal settings, contacting customer service) and the timeframe required for revocation to take effect.
- Disclosure of any fees associated with returned payments (e.g., NSF fees).
- **E-sign** : The user will then be prompted to e-sign these agreements through adobe e-sign and the documents will be stored against the bank account for future references.
 - A checkbox explicitly stating agreement to the terms.
 - A clear "Authorize," "Agree," or "Submit" button.
 - The system should securely log the electronic signature/authentication details, including a timestamp, IP address, and user agent information.
 - **Success Message:** Upon successful authorization, the portal displays a clear confirmation message.

D. User Journey - Requesting a draw

This journey allows approved borrowers to access their available credit. Speed and transparency are key.

1. **Login & Navigate:** User logs into the portal and accesses the "Draw Funds" section.
2. **View Available Credit:** The dashboard prominently displays the current available flexline credit limit, reflecting previous draws and repayments.
3. **Enter Draw Amount:** User inputs the desired amount to draw. The system should validate this amount against the available credit limit in real-time.
4. **Select Loan Term :** User to select from available repayment tenors (3 or 6 months).
5. **Review Fees & Repayment Schedule:** Before confirming the draw, the portal must display a clear breakdown of the fees associated with *this specific draw amount and selected term*. An example is shown below:

Draw Amount : \$120, Flexline annualised interest rate : 12%, Loan term : 6 months, Draw Date : 01/01/2025

Instalment Date	Repayment Principal	Instalment Interest	Total Instalment Amount
01/02/2025	\$20	$\$120 * .12 * (31/365) = \1.22	\$21.22
01/03/2025	\$20	$\$100 * .12 / 12 = \1	\$21
01/04/2025	\$20	$\$80 * .12 / 12 = \0.8	\$20.8
01/05/2025	\$20	$\$60 * .12 / 12 = \0.6	\$20.6
01/06/2025	\$20	$\$40 * .12 / 12 = \0.4	\$20.4
01/07/2025	\$20	$\$20 * .12 / 12 = \0.2	\$20.2
Total	\$120	\$4.2	\$124.22

Please note : Interest accrued for the first instalment will be calculated based on the number of days between draw date and first instalment date, for all other instalments we will take interest accrued for 1 month.

6. **Select Disbursement Account:** User confirms the designated, verified business bank account where the funds should be sent.
7. **Confirm Draw Request:** User reviews the draw amount, fees, terms, and disbursement account, then confirms the request.
8. **View Disbursement Status:** The portal should provide real-time status updates (Processing, Funded, Declined).

Key UI Elements: Real-time available credit display, validated amount input field, term selection mechanism (future), dynamic fee and repayment schedule preview based on inputs, disbursement account selector, clear confirmation prompts, disbursement status tracker.

E. Managing Repayments

- Each flexline facility will have a set monthly repayment date of either 1st or the 15th of a month
- If the next repayment date for a customer is 1st of next month (say 1st of March) , following are the validations for draw breakdown:
 - If a makes a draw within the current month (February), the first instalment will be set for 1st of April
 - If the draw is made in January, the first instalment will be set for 1st of March
- If the next repayment date for a customer is 15th of next month (say 15th of March) , following are the validations for draw breakdown:

- If a draw is made on or after 15th February and before 15th of March, the first instalment will be set for 15th of April
- If a draw is made on or after 15th January and before 15th of February, the first instalment will be set on 15th of March
- Repayment amount of each month will be set by calculating the sum of all the instalments set for the month
- We need to store repayments data to solve for 2 users: Drip Operations Team and Customer
 - Need to store instalment breakdown at a draw level
- Upon repayment marking, credit limit of the facility to free up for the customer to reuse again
- If repayment is not marked within 3 days past the due date, extra interest would not be charged as Drip Capital will be awaiting successful ACH debit
- If repayment is not marked even after 3 days past the due date, interest will start getting accrued on the principal of the instalment
- Round off the amounts to 2 decimal places